

Subject Line: 2025-03-13 Thursday Evening Market Watch

Good evening UCF!

3/13 Market Indexes:

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Dow Jones Industri...	40,785.91	-565.02	↓1.37%	
S&P 500	5,521.92	-77.38	↓1.38%	×
Nasdaq Composite	17,304.68	-343.77	↓1.95%	×
Russell 2000 Index	1,994.00	-32.47	↓1.60%	×

[Consumer Angst Is Striking All Income Levels - WSJ](#)

- In the last month, people across all income levels have cut their spending more sharply than expected.
- Dollar General's earnings call and Citi's analysis of credit card data confirm that consumers are spending less, on both essential and luxury goods.
- Retail, travel, and financial sectors are all feeling the effects of reduced demand, and businesses are warning that the economy is under heavy strain.

High inflation, tariffs, and stock market recessions have worried Americans for the last couple of months. Now, the impact is clear: spending across all income levels has dropped significantly, affecting both necessity and luxury purchases.

Major food and retail companies—including Walmart, McDonalds, and Dollar General—are all reporting similar trends: smaller purchases, reduced fast-food spending, and an increased focus on the necessities. Costco reports that shoppers are opting for lower-cost proteins like ground beef and poultry over premium ones like steak. Department stores like Kohl's and Macy's have cited more cautious behavior, even among households earning over \$100k per year. The airline industry is also feeling the effects—companies like Delta and American Airlines have decreased their earnings expectations due to lower demand.

Unlike past economic recessions in recent years that impacted specific groups more than others, the current slowdown is far more widespread. Following the Covid pandemic, lower-income workers initially saw higher wage growth, while higher earners lagged—a trend some observers termed a “Richcession”. This began to reverse after pandemic-era support programs, like expanded food stamp benefits, were rolled back. By 2024, wage growth of higher-income earners had overtaken that of lower-income workers. But many wealthier consumers kept spending, partly supported by a strong stock market and hype around artificial intelligence.

Now, however, all income levels are more cautious. Monthly median household savings have declined by approximately 30%, and household inflation-adjusted debt is beginning to surpass pre-pandemic levels. With less financial flexibility to handle unexpected ‘rainy day’ expenses, it’s no surprise consumers are pulling back. If wage growth stays stagnant while inflation remains high, businesses would see further declines in revenue, forcing them to cut costs and potentially leading to more layoffs, further perpetuating this cycle of reduced spending and making a recovery more difficult. Tariffs and political developments from the Trump administration remain a looming concern as well. Until we see a change in one or more of these aspects—stagnating wages, high inflation, or more predictable political policy changes—consumer spending is likely to remain weak.

[Sam Altman's Other Startup Is Building an App to Compete With Elon Musk's X - WSJ](#)

- Sam Altman's startup, *World*, is developing an “everything” app or superapp that uses biometric identity verification using iris-scanning “Orbs”, with the goal of providing a secure and anonymous proof-of-human verification system.
- *World*'s expansion strategy includes a mini app store, allowing a wide variety of things from crypto trading, to chats with other verified humans, to taking out microloans.
- *World* would potentially compete with Elon Musk's own plans to make X an everything app.

Sam Altman and Elon Musk have had an ongoing rivalry for years, escalating when we saw Elon's attempt to buy OpenAI back in February. Now, Altman's latest move is his attempt at an "everything" app—similar to WeChat or Alipay in China—designed for an increasingly-AI-pervasive world that needs stronger human verification protocols.

Altman and his co-founder, Alex Blania, have recently created *World*, an app that uses iris-scanning "Orbs" to verify human identity—an anonymous, "proof-of-human" system. This technology could see high demand and relevance as AI advances to the point where distinguishing between humans and bots will be necessary for online security and transactions (it's already becoming questionable whether you're interacting with bots online nowadays, especially on social media platforms). *World's* verification system could be used for many identity-based interactions ranging from financial payments to social media authentication.

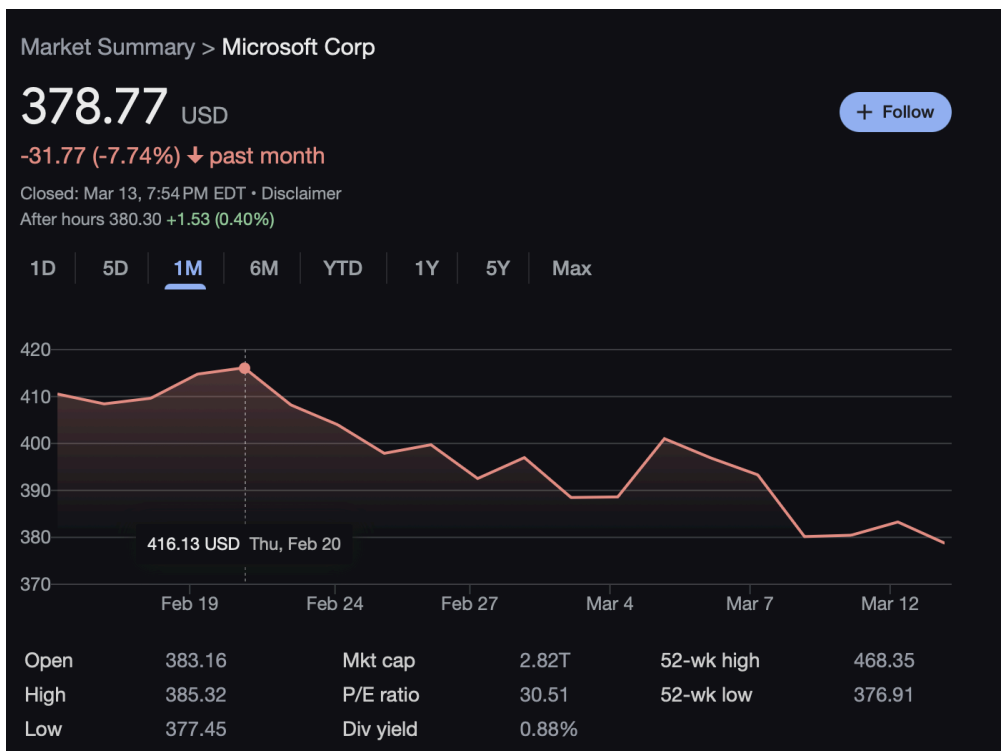
To expand its user base, *World* recently launched a mini app store of sorts inside its app. Altman says his ultimate goal is to build an entire ecosystem capable of serving over 1 billion users. Elon Musk has similar plans for X, which has [announced plans to integrate financial payments with the social media aspect](#). Blania acknowledges that as of now, a direct competition with X is still some time away, but he predicts they will start competing more directly within a year. However, the success of "everything" apps in the West has historically been limited. Unlike China, where apps like WeChat dominate nearly all of the user base due to limited competition from Western platforms, most Western users already have many options through traditional app stores. Additionally, *World's* iris-scanning Orbs are facing regulatory scrutiny. The system has been banned or investigated in over a dozen countries over concerns about privacy and data security. As of now, *World* is not active in the US, and its cryptocurrency Worldcoin is unavailable to Americans due to regulatory concerns.

The success of *World*—and biometric verification technology, more broadly—will rely on consumers' perceptions and official regulations. Past technologies, like Apple's Face ID, initially faced doubts but eventually became widely accepted. However, *World's* approach is far more ambitious, as it aims to make biometric verification a hard requirement rather than just an optional security feature. For *World* to gain widespread adoption, consumers must perceive it as truly secure, anonymous, and useful for daily life. If *World* can overcome this barrier, it would reshape the entire concept of identity verification—a topic I think will be of extensive moral and ethical debate in the near future.

What I'm Watching: Microsoft (NASDAQ: MSFT), LONG for >6 months

Microsoft Corporation (MSFT) is a global tech giant, known for its Windows, Office, Azure cloud services, and more recently AI initiatives. Despite underperforming in comparison to other big tech companies in early 2025, I believe MSFT is poised for a rebound over the next year.

1-month graph:



An 8% decline - reflects broader tech stock sells due to tariff uncertainty and a Nasdaq drop.

1-year graph:



Strong gains from March 2024 up to around July-August 2024, followed by a pullback to current levels.

Strong Financial Performance & Artificial Intelligence Initiatives

- Earnings: Microsoft's financial performance in fiscal Q2 2025 (ended December 31, 2024) reported a revenue of [\\$69.6 billion, a 12% increase](#) from the same period in the previous year. Operating income [rose 17%, and the company returned \\$9.7 billion](#) to shareholders through dividends and share repurchases in the same quarter.
- Azure: Azure (Microsoft's cloud computings service) [was up 30%](#) in the same quarter, reflecting stronger demand for cloud services and AI-based solutions.
 - Also, Azure's 30% growth still beats AWS and Google Cloud
- Cash flow: [Operating cash flow was \\$22.3 billion, up by 18%](#), partly driven by strong Azure cloud profits.
- AI Expansion: Microsoft [invested \\$80 billion in AI through data centers and proprietary AI models](#). Additionally, Microsoft's AI business [is on track to achieve an annual revenue run rate exceeding \\$13 billion, a 175% increase](#) from the previous year.

All of these factors show Microsoft's strong financial strength. Combined with substantial investments in AI infrastructure and rising role in cloud computing services, I believe this to be a strong indicator for a future rebound.

General Industry/Consumer Outlook & Technical Indicators

The tech industry is currently facing some short-term issues, including tariffs, inflation, and higher rates. However, Microsoft's relatively low direct customer exposure, therefore making it more able to withstand the effects of lower demand, give it an advantage. One analyst from D.A. Davidson, Gil Luria, quoted this property as a ["shelter in the storm"](#) that makes Microsoft a more stable investment than the other Magnificent 7's. Additionally, in February, [investors began shifting their portfolios away from volatile stocks like Meta and Apple and increasing their holdings in Microsoft](#). This change reflects confidence in Microsoft's long-term stability and prospects, which are consistent with Microsoft's financials.

MSFT is currently trading at essentially its 52-week low despite its strong aforementioned performances, which suggests potential undervaluation. Additionally, its RSI is at a low 33.



Conclusion

Despite unfavorable macroeconomic headwinds, which nearly all stocks are facing right now (S&P500 being -10% in the last month), I believe that Microsoft's financial performance details are very compelling. Combined with its extensive investment in AI, leading role in cloud computing, and consumer optimism towards stability, Microsoft has many positive indicators for long-term growth. Given these factors, I propose a price target of ~\$416 (+10%) with a stop-loss at \$360 (-5%). This target of 416 is on the lower side, but given the state of the markets right now I think this conservative number is warranted for.

Thank you for reading, and have a great rest of your day!

Best regards,
Will